

There are multiple ways to divide the market into customer segments. They can be identified based on any of the following five questions.

Who?

Customers can be segmented based on who they are i.e. their identity, consumption patterns, tastes, and preferences, which may vary based on origin.

For example, people of a similar religion can show similar buying patterns and together form a market segment.

Where?

Segmentation is possible based on the geographical location from where the product is to be bought, sold, or consumed.

For example, consumers in Northern India buy more diamonds compared to those in Southern India, who mostly buy gold.

What?

Segmentation can be done based on what people want or expect from a business. What is it that they are trying to achieve from the product?

For example, some people go to the supermarket to buy groceries, while others go to the supermarket for dairy products or bakery products.

Why?

Customers can be segmented based on why they wish to buy a product or service. The motivation can be the pains that will be relieved or the gains that would be created.

For example, someone may buy a car for transportation, whereas someone else may buy it for social status. Some people buy jewellery for consumption while others may buy it as an investment.

How?

How the product would be used determines the segments in the market.

The needs of someone who wants a laptop for gaming would be different from someone who requires it for basic MS office use. The needs of those who use it daily would be different from those who use the laptop once in a while. They are all different segments